

Cambridge International AS & A Level

★ PREDICTED PAPER — FOR REVISION USE ★

ECONOMICS

9708/02M

Paper 2 AS Level Data Response and Essays

Practice Series 2026

Difficulty: Moderate

2 hours

You must answer on the enclosed answer booklet.

You will need: Answer booklet (enclosed)

INSTRUCTIONS

- Answer three questions in total:
Section A: answer Question 1.
Section B: answer one question.
Section C: answer one question.
- Follow the instructions on the front cover of the answer booklet. If you need additional answer paper, ask the invigilator for a continuation booklet.
- You may use a calculator.
- You may answer with reference to any economy you have studied where relevant to the question.

INFORMATION

- The total mark for this paper is 60.
- The number of marks for each question or part question is shown in brackets [].

This document has 4 pages.

Section A

Answer all parts of question 1.

1 The United Kingdom and the cost-of-living crisis

Between 2021 and 2023, the United Kingdom experienced one of the sharpest rises in its consumer price index (CPI) in four decades. The CPI rate of inflation peaked at 11.1% in October 2022, well above the Bank of England's 2% target. Inflation was driven by a combination of rising global energy prices following geopolitical shocks, disruptions to global supply chains, and a weaker pound sterling, which raised the cost of imported goods. Households faced significant falls in real incomes, and many firms reported higher costs of production.

In response, the Bank of England raised its official Bank Rate from 0.1% in December 2021 to 5.25% by August 2023, the highest level since the 2008 financial crisis. The UK government also introduced an 'Energy Price Guarantee' to limit the average annual household energy bill, at a cost estimated at over £30 billion. Some commentators argued that further rises in the minimum wage, which increased by 9.7% in April 2023, would feed through into a wage–price spiral. Others suggested that supply-side measures would be more effective in reducing inflation over the medium term.

Table 1.1 UK CPI annual inflation rate (%), selected months

Month/Year	CPI inflation rate (%)
December 2021	5.4
June 2022	9.4
October 2022	11.1
February 2023	10.4
June 2023	7.9
October 2023	4.6

Source: adapted from Office for National Statistics (ONS), 2023

- (a) (i) Identify the change in the UK CPI annual inflation rate between December 2021 and October 2022. [1]
- (ii) Compare the trend in the UK CPI annual inflation rate between December 2021 and October 2022 with that between October 2022 and October 2023. [1]
- (b) Identify one possible impact of a high rate of inflation on UK households and one possible impact on UK firms. [2]
- (c) Consider whether a 9.7% rise in the UK minimum wage is likely to cause a wage–price spiral. [4]
- (d) Assess the extent to which supply-side shocks, such as rising global energy prices and supply chain disruptions, can explain the increase in UK inflation between 2021 and 2022. [6]
- (e) Assess the extent to which raising the Bank Rate is likely to be effective in reducing the UK's rate of inflation. [6]

Section B

Answer one question.

EITHER

2 (a) Explain what is meant by price elasticity of demand (PED) and consider why PED varies between different goods. [8]

(b) Assess whether firms selling goods with a relatively price-inelastic demand always benefit more than firms selling goods with a relatively price-elastic demand. [12]

OR

3 (a) Explain, with examples, how negative externalities of production can cause market failure in a free market economy such as the United States. [8]

(b) Assess whether indirect taxation is the most effective way for a government to reduce negative externalities of production. [12]

Section C

Answer one question.

EITHER

4 (a) Using an AD/AS diagram, explain how an increase in business confidence in the UK might affect the level of economic activity, and consider one factor that could limit this effect. [8]

(b) Assess whether fiscal policy is a more effective tool than monetary policy for reducing unemployment in a developed economy. [12]

OR

5 (a) With the help of a diagram, explain how a depreciation of a floating exchange rate may improve the current account of a country's balance of payments, and consider one reason why it may not. [8]

(b) Assess the extent to which a persistent current account surplus is always beneficial for an economy. [12]

This is a predicted paper produced for student revision purposes. It is not an official Cambridge International paper. All stimulus data are based on publicly available sources and have been simplified for practice use.